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Register Of Deeds

**DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS
FOR
SHAVENDER'S BLUFF**

86

Prepared by +

Mail after recording to:

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TABLE OF CONTENTS

ARTICLE SECTION

I. DEFINITIONS

- 1.1 Amenity Area
- 1.2 Area of Common Responsibility
- 1.3 Articles of Incorporation; Articles
- 1.4 Association
- 1.5 Base Assessment
- 1.6 Board of Directors; Board
- 1.7 Boat Parking Area
- 1.8 Boat Ramp
- 1.9 Boatslips
- 1.10 Boatslip Assessment
- 1.11 Boatslip Expenses
- 1.12 Boatslip Lots
- 1.13 Builder
- 1.14 By-Laws
- 1.15 Class "B" Control Period
- 1.16 Common Area
- 1.17 Common Expenses
- 1.18 Community-Wide Standard
- 1.19 Declarant
- 1.20 Entrance Signage Area
- 1.21 Governing Documents
- 1.22 Lake Access Easement
- 1.23 Lot or Lots
- 1.24 Master Plan
- 1.25 Member
- 1.26 Mortgage
- 1.27 Mortgagee
- 1.28 Mortgagor
- 1.29 Non-Boatslip Lots
- 1.30 Owner
- 1.31 Person
- 1.32 Pier
- 1.33 Properties
- 1.34 Restricted Common Area
- 1.35 Shavender's Bluff
- 1.36 Special Assessment
- 1.37 Specific Assessment

1.38 Supplemental Declaration(s)

II. PROPERTY RIGHTS

- 2.1 Common Area
- 2.2 Restricted Common Area

III. ASSOCIATION FUNCTION, MEMBERSHIP AND VOTING RIGHTS

- 3.1 Function of Association
- 3.2 Membership
- 3.3 Voting

IV. RIGHTS AND OBLIGATIONS OF THE ASSOCIATION

- 4.1 Common Area
- 4.2 Personal Property and Real Property for Common Use
- 4.3 Rules
- 4.4 Enforcement
- 4.5 Implied Rights; Board Authority
- 4.6 Indemnification

V. MAINTENANCE

- 5.1 Association's Responsibility
- 5.2 Owner's Responsibility
- 5.3 Standard of Performance

VI. INSURANCE AND CASUALTY LOSSES

- 6.1 Association Insurance
- 6.2 Owner's Insurance
- 6.3 Damage and Destruction
- 6.4 Disbursement of Proceeds
- 6.5 Repair and Reconstruction

VII. PIERS AND BOATSLIPS

- 7.1 Right to Construct
- 7.2 Designation of Boatlips
- 7.3 Declarant's Right to Use or Convey to the Association
- 7.4 Rules for Use

VIII. CONDEMNATION

IX. ANNEXATION AND WITHDRAWAL OF PROPERTY

- 9.1 Annexation without Approval of Membership
- 9.2 Annexation with Approval of Membership
- 9.3 Withdrawal of Property
- 9.4 Amendment

X. ASSESSMENTS

- 10.1 Creation of Assessments
- 10.2 Declarant's Obligation for Assessments
- 10.3 Computation of Base Assessment
- 10.4 Computation of Boatslip Assessment
- 10.5 Special Assessments
- 10.6 Specific Assessments
- 10.7 Date of Commencement of Assessments
- 10.8 Lien for Assessments
- 10.9 Failure to Assess
- 10.10 Capitalization of Association
- 10.11 Exempt Property

XI. ARCHITECTURAL AND AESTHETIC REVIEW

- 11.1 General
- 11.2 Architectural and Aesthetic Review
- 11.3 Submission of Plans and Specifications
- 11.4 No Waiver of Future Approvals
- 11.5 Variance
- 11.6 Limitation of Liability
- 11.7 Enforcement

XII. RESTRICTIONS

- 12.1 Plan of Development; Applicability; Effect
- 12.2 Owners' Acknowledgment
- 12.3 Land Use and Building Type
- 12.4 Dwelling Specifications
- 12.5 Building Construction and Quality
- 12.6 Diligent Construction
- 12.7 Removal of Trees and Other Vegetation
- 12.8 Driveways, Fences, Walls, Mailboxes, Air Conditioners, Swimming Pools, and Clotheslines
- 12.9 Antennas, Satellite Dishes or Discs
- 12.10 Building Setbacks
- 12.11 Resubdivision of Lots, Streets

- 12.12 Nuisances
- 12.13 Signs
- 12.14 Offstreet Parking, Boat Storage
- 12.15 Sewage Disposal
- 12.16 Lot Maintenance, Trash Disposal

XIII. EASEMENTS

- 13.1 Easements for Utilities, Etc.
- 13.2 Easements to Serve Additional Property
- 13.3 Easements for Cross-Drainage
- 13.4 Right of Entry
- 13.5 Lake Access Easements

XIV. MORTGAGEE PROVISIONS

- 14.1 Notices of Action
- 14.2 Special FHLMC Provision
- 14.3 Other Provisions for First Lien Holders
- 14.4 Amendments to Documents
- 14.5 No Priority
- 14.6 Notice to Association
- 14.7 Amendment by Board
- 14.8 Applicability of Article XIV
- 14.9 Failure of Mortgagee to Respond

XV. DECLARANT'S RIGHTS

XVI. GENERAL PROVISIONS

- 16.1 Term
- 16.2 Amendment
- 16.3 Severability
- 16.4 Litigation
- 16.5 Compliance

TABLE OF EXHIBITS

EXHIBIT	SUBJECT MATTER
"A"	Land Initially Submitted
"B"	Land Subject to Annexation and Master Plan

DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS
FOR
SHAVENDER'S BLUFF

THIS DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS ("Declaration") is made this 4 day of April, 1996, by Shavender Development Group LLC, a North Carolina limited liability company ("Declarant").

STATEMENT OF PURPOSE

Declarant is the owner of the real property described in Exhibit "A," which is attached and incorporated by reference. This Declaration imposes upon the Properties (as defined in Article I) mutually beneficial restrictions under a general plan of improvement for the benefit of the Owners of Lots within the Properties, and establishes a procedure for the overall development, administration, maintenance and preservation of the Properties which will ensure the attractiveness, prevent the impairment and enhance the value thereof. Declarant reserves the right to set aside as Common Area certain portions of the Properties with or without improvements thereon for the use and enjoyment of all Owners, including but not limited to, the Amenity Area(s), the Boat Parking Area, the Boat Ramp and the Entrance Signage Area, and to set aside as Restricted Common Area portions of the Properties with improvements thereon for the use of only Owners of Boatslip Lots, including but not limited to Boatslips, Piers and Lake Access Easement(s).

Declarant desires to provide for a system whereby the Owners will pay for the maintenance and upkeep of the Common Area through Assessments set out in Article X; provided, however, that maintenance and upkeep of Restricted Common Area will be paid for only by Owners who are entitled to the use of a Boatslip. All Owners will pay for the costs associated with maintenance and upkeep to the Amenity Areas(s), Entrance Signage Area, Boat Parking Area, Boat Ramp and roads (prior to their acceptance for public maintenance).

Declarant hereby declares that all of the property described in Exhibit "A" and any additional property subjected to this Declaration by Supplemental Declaration (as defined in Article I) shall be held, sold, used and conveyed subject to the following easements, restrictions, covenants and conditions, which are for the purpose of protecting the value and desirability of and which shall run with the real property subjected to this Declaration. This Declaration shall be binding on and shall inure to the benefit of all parties having any right, title, or interest in the Properties or any part thereof, their heirs, successors, successors-in-title, and assigns.

Article I
DEFINITIONS

The terms used in this Declaration shall generally be given their natural, commonly accepted definitions except as otherwise specified. Capitalized terms shall be defined as set forth below.

1.1 "Amenity Area(s)": Any parcel of land subject to this Declaration, as it may be amended or supplemented from time to time, upon which may be constructed improvements for the benefit of all or part of the Owners and/or for the benefit of non-Owners, including but not limited to the approximately 2.5 acre waterfront tract shown as such on the Master Plan. Any such Amenity Area(s) shall be Common Area but may include facilities (such as Boatslips and Piers) to be used only by Owners of Boatslip Lots.

1.2 "Area of Common Responsibility": the Common Area, together with those areas which by the terms of this Declaration, any Supplemental Declaration or other applicable covenants, or by contract become the responsibility of the Association.

1.3 "Articles of Incorporation" or "Articles": the Articles of Incorporation of Shavender's Bluff Community Association, Inc., as filed with the North Carolina Secretary of State.

1.4 "Association": Shavender's Bluff Community Association, Inc., a North Carolina nonprofit corporation, its successor and assigns.

1.5 "Base Assessment": assessments levied on all Lots to fund Common Expenses for the general benefit of all Lots, as more particularly described in Sections 10.1 and 10.3.

1.6 "Board of Directors" or "Board": the body responsible for administration of the Association, selected as provided in the By-Laws and generally serving the same role as the board of directors under North Carolina corporate law.

1.7 "Boat Parking Area": the area shown generally as such on the Master Plan, to be more particularly described in an exhibit to any Supplemental Declaration, upon which Members may park their boats. The Boat Parking Area shall be Common Area.

1.8 "Boat Ramp": that boat launching ramp to be situated upon the waterfront Amenity Area. The Boat Ramp shall be Common Area.

1.9 "Boatslips": those boatslips over the waters of Lake Norman designated as Boatslips on an exhibit to any Supplemental Declaration. The location of the initial Boatslips is shown generally on the Master Plan.

1.10 "Boatslip Assessment": assessments levied against the Boatslip Lots, as described in Sections 10.1 and 10.4.

1.11 "Boatslip Expenses": the actual and estimated expenses incurred or anticipated to be incurred by the Association for the benefit of the Owners of Boatslip Lots, which may include a reasonable reserve for capital repairs and replacements, as the Board may specifically authorize and as may be authorized herein or in Supplemental Declaration(s).

1.12. "Boatslip Lots": those Lots in the development which have, as an appurtenance to the Lot, the right to use a Boatslip, whether acquired by deed from Declarant or other conveyance as more particularly set forth in Section 7.2.

1.13. "Builder": any Person which purchases one or more Lots for the purpose of constructing improvements for later sale to consumers or parcels of land within the Properties for further subdivision, development, and/or resale in the ordinary course of such Person's business.

1.14. "By-Laws": the By-Laws of Shavender's Bluff Community Association, Inc., as they may be amended.

1.15. "Class "B" Control Period": the period of time during which the Class "B" Member is entitled to appoint a majority of the members of the Board of Directors as provided in Section 3.3 of the By-Laws.

1.16. "Common Area": all real and personal property which the Association owns, leases or otherwise holds possessory or use rights in for the common use and enjoyment of the Owners and any other person approved by the Board; provided, however, that only the Owners of Boatslip Lots shall be entitled to the use, benefit and enjoyment of the Restricted Common Area, including Boatslips, Piers, and Lake Access Easement(s), subject to individual Boatslip Lot Owner's exclusive rights to use specified Boatslips. The term shall include the Restricted Common Area. Common Area may include, but shall not be limited to, the following: Amenity Area(s), Boat Parking Area, Boat Ramp, Boatslips, Entrance Signage Area, Lake Access Easement(s), Piers and roads (except for Beaten Path Road) until accepted by the State of North Carolina or other governmental entity for maintenance.

1.17. "Common Expenses": the actual and estimated expenses incurred or anticipated to be incurred by the Association for the general benefit of all Lots, including any reasonable reserve, as the Board may find necessary and appropriate pursuant to this Declaration, the By-Laws, and the Articles of Incorporation. Common Expenses shall not include any expenses incurred during the Class "B" Control Period for initial development, original construction, installation of infrastructure, original capital improvements, or other original construction costs unless approved by Members representing a majority of the total Class "A" vote of the Association.

1.18. "Community-Wide Standard": the standard of conduct, maintenance, or other activity generally prevailing throughout the Properties. Such standard may be more specifically determined by the Board of Directors and the Architectural Control Committee.

1.19. "Declarant": Shavender Development Group LLC, a North Carolina limited liability company, or any successor, successor-in-title, or assign who takes title to any portion of the property described on Exhibits "A" or "B" for the purpose of development and/or resale in the ordinary course of business and who is designated as the Declarant in a recorded instrument executed by the immediately preceding Declarant.

1.20. "Entrance Signage Area": the easement area reserved and granted by Declarant as shown on any Exhibit to any Supplemental Declaration along with the improvements situated thereon including any signage, irrigation system, landscaping, and lighting system to designate an entrance for Shavender's Bluff.

1.21. "Governing Documents": the Declaration, any Supplemental Declaration(s), By-Laws and Articles of Incorporation, as the same may be amended from time to time.

1.22. "Lake Access Easement(s)": that easement(s) reserved and granted by Declarant in Section 13.5 of this Declaration over portions of the Properties which easements may be designated on any exhibit hereto or to any Supplemental Declaration. Lake Access Easement(s) are to be used by Boatslip Lot Owners for access to and from their Boatslips.

1.23. "Lot": a portion of the Properties, whether improved or unimproved, which may be independently owned and conveyed and which is intended for development, use, and occupancy as a detached residence for a single family. The term shall refer to the land, if any, which is part of the Lot as well as any improvements thereon. The term shall not include Common Areas or property dedicated to the public.

1.24. "Master Plan": Exhibit B, as it may be amended from time to time, showing the land use plan for the development of Shavender's Bluff, which plan includes the property described on Exhibit "A" and other property which Declarant may from time to time anticipate subjecting to this Declaration. Inclusion of property on the Master Plan shall not under any circumstances, obligate Declarant to subject such property to this Declaration.

1.25. "Member": a Person entitled to membership in the Association, as provided in Section 3.2.

1.26. "Mortgage": a mortgage, a deed of trust, a deed to secure debt, or any other form of security deed.

1.27. "Mortgagee": a beneficiary or holder of a Mortgage.

1.28. "Mortgagor": any Person who gives a Mortgage.

1.29. "Non-Boatslip Lots": those Lots in the development which do not have as an appurtenance thereto the right to use a Boatslip.

1.30. "Owner": one or more Persons who hold the record title to any Lot, but excluding in all cases any party holding an interest merely as security for the performance of an obligation.

1.31. "Person": a natural person, a corporation, a partnership, a trustee, or any other legal entity.

1.32. "Pier" or "Piers": that certain pier or piers, containing the Boatslips, which may be constructed over the waters of Lake Norman in the approximate locations shown on Exhibit B to this Declaration and as may be more particularly described on an exhibit to a any Supplemental Declaration.

1.33. "Properties": the real property described in Exhibit "A," together with such additional property as is subjected to this Declaration in accordance with Article IX.

1.34. "Restricted Common Area": a portion of the Common Area intended for the exclusive use or primary benefit of Owners of Boat slip Lots, as more particularly described in Article II. Restricted Common Area may include, but shall not be limited to, Boatslips, Pier(s) and Lake Access Easement(s).

1.35. "Shavender's Bluff": the Properties, as defined in Section 1.33., plus other property shown on Exhibit B which may be developed in the future under the name, "Shavender's Bluff", whether or not subjected to this Declaration.

1.36. "Special Assessment": assessments levied in accordance with Section 10.5 of this Declaration.

1.37. "Specific Assessment": assessments levied in accordance with Section 10.6 of this Declaration.

1.38. "Supplemental Declaration(s)": amendment(s) or supplement(s) to this Declaration filed pursuant to Article IX which subjects additional property to this Declaration and/or imposes, expressly or by reference, additional restrictions and obligations on the land described therein.

Article II PROPERTY RIGHTS

2.1. Common Area. Every Owner shall have a right and nonexclusive easement of use, access, and enjoyment in and to the Common Area, subject to:

- (a) This Declaration, the By-Laws and any other applicable covenants;
- (b) Any restrictions or limitations contained in any deed conveying such property to the Association;
- (c) The right of the Board to adopt rules regulating the use and enjoyment of the Common Area, including rules restricting use of recreational facilities within the Common Area to occupants of Lots and their guests and rules limiting the number of guests who may use the Common Area;
- (d) The right of the Board to suspend the right of an Owner to use recreational facilities within the Common Area (i) for any period during which any charge against such Owner's Lot

remains delinquent, and (ii) for a period not to exceed 30 days for a single violation or for a longer period in the case of any continuing violation of the Governing Documents after notice and a hearing pursuant to the Section 3.20 of the By-Laws;

(f) The right of the Board to charge reasonable fees for the use of the Boat Ramp and Boat Parking Area.

(g) The right of the Board to permit use of the Common Area by persons other than Owners, their families, lessees and guests upon payment of use fees or otherwise as approved by the Board.

(h) The right of the Association, acting through the Board, to mortgage, pledge, or hypothecate any or all of its real or personal property as security for money borrowed or debts incurred, subject to the approval requirements set forth in Section 14.2; and

(i) The rights of certain Owners to the exclusive use of those portions of the Common Area designated "Restricted Common Areas," as more particularly described in Section 2.2.

Any Owner may extend his or her right of use and enjoyment to the members of his or her family, lessees, and social invitees, subject to reasonable Board regulation. An Owner who leases his or her Lot shall be deemed to have assigned all such rights to the lessee of such Lot.

2.2. Restricted Common Area. Certain portions of the Common Area are hereby designated as Restricted Common Area and reserved for the exclusive use or primary benefit of Owners and occupants of Boat slip Lots and their invitees. Restricted Common Areas shall include Boat slips, Piers and Lake Access Easement(s). All costs associated with maintenance, repair, replacement, and insurance of Restricted Common Areas shall be assessed to Owners of Boat slip Lots entitled to use the same.

Article III

ASSOCIATION FUNCTION, MEMBERSHIP AND VOTING RIGHTS

3.1. Function of Association. The Association shall be the entity responsible for management, maintenance, operation and control of the Area of Common Responsibility. The Association shall be the primary entity responsible for enforcement of this Declaration and such reasonable rules regulating use of the Properties as the board or the membership may adopt pursuant to Article IV. The Association shall also be responsible for administering and enforcing the architectural review process and other Community-Wide Standards set forth in the Governing Documents. The Association shall perform its functions in accordance with the Governing Documents and North Carolina law.

3.2. Membership. Every Owner shall be a Member of the Association. There shall be only one membership per Lot. If a Lot is owned by more than one Person, all co-Owners shall share the privileges of such membership, subject to reasonable Board regulation and the restrictions on

voting set forth in Section 3.3 and in the By-Laws, and all such co-Owners shall be jointly and severally obligated to perform the responsibilities of Owners. The membership rights and privileges of an Owner who is a natural person may be exercised by the Member or the Member's spouse. The membership rights of an Owner which is a corporation, partnership or other legal entity may be exercised by any officer, director, partner, or trustee, or by any other individual designated from time to time by the Owner in a written instrument provided to the Secretary of the Association.

3.3. Voting. The Association shall have two classes of membership, Class "A" and Class "B".

(a) Class "A". Class "A" Members shall be all Owners except the Class "B" Member, if any. Class "A" Members shall have one equal vote for each Lot in which they hold the interest required for membership under Section 3.2; there shall be only one vote per Lot.

(b) Class "B". The sole Class "B" Member shall be the Declarant. The rights of the Class "B" Member, including the right to approve or withhold approval of actions proposed under this Declaration and the By-Laws, are specified elsewhere in the Declaration and the By-Laws. The Class "B" Member may appoint a majority of the members of the Board during the Class "B" Control Period, as specified in Section 3.3 of the By-Laws.

The Class "B" membership shall terminate upon the earlier of:

(i) termination of the class "B" Control Period pursuant to Section 3.3 of the By-Laws;
or

(ii) when, in its discretion, the Declarant so determines and declares in a recorded instrument. Upon termination of the Class "B" membership, the Declarant shall be a Class "A" Member entitled to Class "A" votes for each Lot which it owns.

(c) Exercise of Voting Rights. Except as otherwise specified in this Declaration or the By-Laws, the vote for each Lot owned by a Class "A" Member shall be exercised by the Owner of said Lot. In any situation in which there is more than one Owner of a particular Lot, the vote for such Lot shall be exercised as such co-Owners determine among themselves and advise the Secretary of the Association in writing prior to any meeting. Absent such advice, the Lot's vote shall be suspended if more than one Person seeks to exercise it.

Article IV RIGHTS AND OBLIGATIONS OF THE ASSOCIATION

4.1. Common Area. The Association, subject to the rights of the Owners set forth in this Declaration, shall manage and control the Common Area and all improvements thereon, and shall keep it in good, clean, attractive, and sanitary condition, order, and repair, consistent with this Declaration and the Community-Wide Standard and shall be responsible for payment of local ad

valorem taxes thereon, except that Owners of Lots burdened by Lake Access Easements shall pay ad valorem taxes on their Lots, including any portion of a Lake Access Easement situated thereon.

4.2. Personal Property and Real Property for Common Use. The Association may acquire, hold, and dispose of tangible and intangible personal property and real property. Declarant or any other party with the consent of Declarant may convey to the Association improved or unimproved real estate located within the properties described in Exhibits "A" or "B," personal property and leasehold and other property interests. Such property shall be accepted by the Association and thereafter shall be maintained as Common Area by the Association at its expense for the benefit of its Members, subject to any restrictions set forth in the deed.

Upon written request of Declarant, the Association shall reconvey to Declarant any unimproved portions of the Properties originally conveyed by Declarant to the Association for no consideration, (i) if originally conveyed by the Declarant in error, (ii) if needed by Declarant to make minor adjustments in property lines or street rights-of-way or (iii) if needed by Declarant for other reasons provided that the reconveyance does not materially adversely affect the rights of any Owner.

4.3. Rules. The Association, through its Board, may make and enforce reasonable rules governing the use of the Properties, the Piers and Boatslips in addition to, further defining or limiting, and creating exceptions to those covenants and restrictions set forth in this Declaration. Such rules shall be binding upon all Owners, occupants, lessees, invitees, and licensees until and unless repealed or modified in a regular or special meeting by the vote of Members representing two-thirds (2/3) of the total Class "A" votes in the Association (or in the case of rules relating to the use of Piers and Boatslips, two-thirds(2/3) of Boatslip Lot Owners) and by the Class "B" Member, so long as such membership exists.

4.4. Enforcement. The Association may impose sanctions for violations of this Declaration or any of the other Governing Documents in accordance with procedures set forth in the By-Laws, including reasonable monetary fines and suspension of the right to vote and to use any recreational facilities within the Common Area. In addition, in accordance with Section 3.20 of the By-Laws, the Association may exercise self-help to cure violations, and may suspend any services it provides to the Lot of any Owner who is more than 30 days delinquent in paying any assessment or other charge due to the Association. The Board may seek relief in any court for violations or to abate nuisances.

4.5. Implied Rights; Board Authority. The Association may exercise any other right or privilege given to it expressly by this Declaration or the Governing Documents, or reasonably implied from or reasonably necessary to effectuate any such right or privilege.

Except as otherwise specifically provided in this Declaration, the other Governing Documents, or by law, all rights and powers of the Association may be exercised by the Board without a vote of the membership.

4.6. Indemnification. The Association shall indemnify every officer, director, and committee member against all expense, including counsel fees, reasonably incurred in connection with any action, suit, or other proceeding (including settlement of any suit or proceeding, if approved by the then Board) to which he or she may be a party by reason of being or having been an officer, director, or committee member.

The officers, directors, and committee members shall not be liable for any mistake of judgment, negligent or otherwise, except for their own individual willful misfeasance, malfeasance, misconduct, or bad faith. The officers and directors shall have no personal liability with respect to any contract or other commitment made or action taken in good faith on behalf of the Association (except to the extent that such officers or directors may also be Members of the Association). The Association shall indemnify and forever hold each such officer, director and committee member harmless from any and all liability to others on account of any such contract, commitment or action. Any right to indemnification provided for herein shall not be exclusive of any other rights to which any present or former officer, director, or committee member may be entitled. The Association may, as a Common Expense, maintain adequate general liability and officers' and directors' liability insurance to fund this obligation, if such insurance is reasonably available.

Article V MAINTENANCE

5.1. Association's Responsibility. The Association shall maintain and keep in good repair the Area of Common Responsibility, which may include, but need not be limited to:

(a) the Amenity Area(s), Boat Parking Area, Boat Ramp, Entrance Signage Area, Boatslips, Piers and Lake Access Easement(s) and any other Common Area, together with all utilities, easements and amenities located within the Common Area and not otherwise maintained by public entities or utilities.

(b) Prior to acceptance for public maintenance, the roads (excluding Beaten Path Road); provided that the Declarant, in its sole discretion, has the right to reimburse the Association for maintenance costs until the roads are accepted for maintenance by the appropriate governmental entity.

(c) improvements, landscaping, sidewalks and signage within public rights-of-way within or abutting the Properties, to the extent the same are not maintained by a governmental entity, and landscaping within any public utility easements within the Properties (subject to the terms of any easement agreement relating thereto);

(d) such portions of any additional property included within any Area of Common Responsibility as may be dictated by this Declaration, any Supplemental Declaration, or any contract or agreement for maintenance thereof entered into by the Association.

Maintenance of the Lake Access Easements shall be limited to maintaining the path constructed thereon in passable condition for pedestrian use, and in accordance with the construction standards and materials as the original path constructed by Declarant, reasonable wear and tear excepted. Owners of Lots over which Lake Access Easement(s) exist (i) shall be responsible for maintaining such portions of their Lots which lie within any Lake Access Easement but which are not covered by the path, and (ii) shall not block, impede access over or place or construct any fence or other natural or artificial barricade over all or any portion of any Lake Access Easement.

There are hereby reserved to the Association easements over the Properties as necessary to enable the Association to fulfill such responsibilities. The Association shall maintain the facilities and equipment within the Area of Common Responsibility in continuous operation, except for reasonable periods as necessary to perform required maintenance or repairs.

The Association may maintain other property which it does not own, including, without limitation, publicly owned property and other property dedicated to public use, if the Board determines that such maintenance is necessary or desirable to maintain the Community-Wide Standard.

Except as otherwise specifically provided herein, all costs associated with maintenance, repair and replacement of the Area of Common Responsibility shall be a Common Expense to be allocated among all Lots in the manner of and as a part of the Base Assessment, without prejudice to the right of the Association to seek reimbursement from the owner(s) of, or other Persons responsible for, certain portions of the Area of Common Responsibility pursuant to this Declaration, other recorded covenants, or agreements with the owner(s) thereof.

5.2. Owner's Responsibility. Each Owner shall maintain his or her Lot and all structures, parking areas, landscaping and other improvements comprising the Lot in a manner consistent with the Community-Wide Standard, the Governing Documents, and all applicable covenants. In addition to any other enforcement rights, if an Owner fails properly to perform his or her maintenance responsibility, the Association may perform such maintenance responsibilities and assess all costs incurred by the Association against the Lot and the Owner in accordance with Section 10.6. The Association shall afford the Owner reasonable notice and an opportunity to cure the problem prior to entry, except when entry is required due to an emergency situation.

5.3. Standard of Performance. Maintenance, as used in this Article, shall include, without limitation, repair and replacement as needed, as well as such other duties as the Board may determine necessary or appropriate to satisfy the Community-Wide Standard. All maintenance shall be performed in a manner consistent with the Community-Wide Standard, all applicable covenants and the Governing Documents.

Notwithstanding anything to the contrary contained herein, the Association and/or an Owner shall not be liable for property damage or personal injury occurring on, or arising out of the condition of property which it does not own unless and only to the extent that it has been negligent in the performance of its maintenance responsibilities.

Article VI
INSURANCE AND CASUALTY LOSSES

6.1. Association Insurance. The Association, acting through its Board or its duly authorized agent, shall obtain blanket "all-risk" property insurance, if reasonably available, for all insurable improvements on the Common Area and on other portions of the Area of Common Responsibility to the extent that it has assumed responsibility for maintenance, repair and/or replacement in the event of a loss. The Association shall have the authority to and interest in insuring any privately owned property for which the Association has maintenance or repair responsibility. Such property shall include, by way of illustration and not limitation, any insurable improvements on or related to parks, rights-of-way, medians, easements, and walkways which the Association is obligated to maintain. If blanket "all-risk" coverage is not generally available at reasonable cost, then the Association shall obtain fire and extended coverage, including coverage for vandalism and malicious mischief. The face amount of the policy shall be sufficient to cover the full replacement cost of the insured property. The cost of such insurance shall be a Common Expense to be allocated among all Lots subject to assessment as part of the annual Base Assessment.

The Association also shall obtain a public liability policy on the Area of Common Responsibility, insuring the Association and its Members for damage or injury caused by the negligence of the Association or any of its Members, employees, agents, or contractors while acting on its behalf. The limits of such insurance shall be in amounts determined by the Board.

Premiums for all insurance on the Area of Common Responsibility shall be Common Expenses or Boatslip Expenses and shall be included in the Base Assessment or Boatslip Assessment, as applicable. In the event of an insured loss, the deductible shall be treated as a Common Expense or Boatslip Expense, as applicable, in the same manner as the premiums for the applicable insurance coverage. However, if the Board reasonably determines, after notice and an opportunity to be heard in accordance with Section 3.20 of the By-Laws, that the loss is the result of the negligence or willful conduct of one or more Owners or occupants, then the Board may specifically assess the full amount of such deductible against the Lot of such Owner or occupant, pursuant to Section 10.6.

All insurance coverage obtained by the Association shall: (a) be written with a company authorized to do business in North Carolina; (b) be written in the name of the Association as trustee for the benefitted parties and shall name Declarant as an additional insured, (c) vest in the Board exclusive authority to adjust losses; provided, however, no Mortgagee having an interest in such losses may be prohibited from participating in the settlement negotiations, if any, related to the loss; and (d) not be brought into contribution with insurance purchased by individual Owners, occupants, or their Mortgagees.

The Board shall use reasonable efforts to secure insurance policies containing endorsements that: (a) waive subrogation as to any claims against the Association's Board, officers, employees, and its manager, the Owners and their tenants, servants, agents, and guests; (b) preclude

cancellation, invalidation, suspension, or nonrenewal by the insurer on account of any curable defect or violation without prior written demand to the Association to cure the defect or violation and allowance of a reasonable time to cure; (c) exclude individual Owners' policies from consideration under any "other insurance" clause; and (d) require at least 30 days' prior written notice to the Association of any cancellation, substantial modification, or nonrenewal.

The Association may also obtain, as a Common Expense, worker's compensation insurance and employer's liability insurance, if and to the extent required by law, directors' and officers' liability coverage, if reasonably available, and flood insurance, if advisable.

6.2. Owner's Insurance. By virtue of taking title to a Lot, each Owner covenants and agrees with all other Owners and with the Association to carry blanket "all-risk" property insurance on its Lot(s) and structures thereon providing full replacement cost coverage less a reasonable deductible.

Each Owner further covenants and agrees that in the event of damage to or destruction of structures on or comprising his Lot, he shall proceed promptly to repair or to reconstruct in a manner consistent with the original construction or such other plans and specifications as are approved in accordance with Article XI of this Declaration.

6.3. Damage and Destruction.

(a) Immediately after damage or destruction to all or any part of the Properties covered by insurance written in the name of the Association, the Board or its duly authorized agent shall file and adjust all insurance claims and obtain reliable and detailed estimates of the cost of repair or reconstruction. Repair or reconstruction, as used in this paragraph, means repairing or restoring the property to substantially the condition in which it existed prior to the damage, allowing for changes or improvements necessitated by changes in applicable building codes.

(b) Any damage to or destruction of the Common Area shall be repaired or reconstructed unless the Members representing at least 75% of the total Class "A" votes in the Association, and the Class "B" Member, if any, decide within 60 days after the loss not to repair or reconstruct.

If either the insurance proceeds or reliable and detailed estimates of the cost of repair or reconstruction, or both, are not available to the Association within such 60-day period, then the period shall be extended until such funds or information are available. However, such extension shall not exceed 60 additional days. No Mortgagee shall have the right to participate in the determination of whether the damage or destruction to the Common Area shall be repaired or reconstructed.

(c) If determined in the manner described above that the damage or destruction to the Common Area shall not be repaired or reconstructed and no alternative improvements are authorized, the affected property shall be cleared of all debris and ruins and maintained by the Association in a neat and attractive, landscaped condition consistent with the Community-Wide Standard.

6.4. Disbursement of Proceeds. Any insurance proceeds remaining after paying the costs of repair or reconstruction, or after such settlement as is necessary and appropriate, shall be retained by and for the benefit of the Association and placed in a capital improvements account.

6.5. Repair and Reconstruction. If insurance proceeds are insufficient to cover the costs of repair or reconstruction, the Board of Directors may, without a vote of the Members, levy Special Assessments against Lot Owners

Article VII PIERS AND BOATSLIPS

7.1. Right to Construct. Declarant and the Association shall have the exclusive right to construct Piers and Boatslips in the approximate locations shown on the Master Plan, any exhibit to any Supplemental Declaration or other document which may be filed pursuant to the provisions of the Declaration.

7.2. Designation of Boatslips. Following the construction of the Piers and Boatslips as set forth above, Boatslips shall be designated for the exclusive use of the Owners of certain Lots and transferred among Owners as follows:

(i) In a recorded deed or other recorded instrument, Declarant may designate one numbered Boatship as an appurtenance to any individual Lot. The Lot to which a Boatship is designated as an appurtenance shall thereafter be a Boatship Lot subject to the provisions of subparagraph (ii) below. Such recorded deed or other recorded instrument shall operate to grant the Boatship Lot Owner the exclusive right and license to use the designated Boatship. The creation of a Boatship Lot shall be conclusively deemed to establish a valid sublease of the designated Boatship from the Declarant or Association to the Boatship Lot Owner for as long as such Lot shall remain a Boatship Lot. Once designated in such deed or other recorded instrument, the exclusive right to use the designated Boatship shall not be separated from ownership of the Boatship Lot to which it is appurtenant, but, rather shall run with the title to such Boatship Lot unless and until the right to use the designated Boatship is conveyed by recorded deed or other instrument as set forth in subparagraph (ii) below. Any deed, deed of trust, mortgage, transfer or other conveyance or encumbrance of a Boatship Lot shall also transfer, convey or encumber (as the case may be) the right to use the Boatship appurtenant thereto, even if not expressly included therein.

(ii) The exclusive right to use a particular Boatship may be conveyed by recorded deed or other recorded instrument to another Owner. Upon such conveyance, the transferor's Lot shall cease to be a Boatship Lot and the transferee's Lot shall thereafter be a Boatship Lot, in which case the right to use the transferred Boatship shall then run with the title to such transferee's Lot as set forth in subparagraph (i) above. A Boatship may not be conveyed to anyone or any entity other than an Owner or the Association and, any such conveyance shall not be effective until written notice thereof is given to the Association.

7.3. Declarant's Right to Use or Convey to the Association. Declarant shall have the right to use and shall have the obligation to pay assessments on any Boatships constructed by Declarant and not conveyed to another Owner or the Association.

In the event that the Pier contains Boatslips which are not designated as an appurtenance to a Boatslip Lot, Declarant may convey such Boatslips to the Association. Such undesignated Boatslips shall be owned by the Association for the common use and enjoyment only of the Owners of Boatslip Lots, their families, guests and invitees, for the purpose of temporarily docking boats, and may not be leased or sold by the Association to (or used by) any other party or the public. No boat or other recreational vehicle shall be permitted to remain overnight in any undesignated Boatslip or Boatslip conveyed to the Association as set forth above.

The use of the Piers and Boatslips is and shall be subject to (i) rules and regulations for use promulgated by the Association; (ii) all laws, statutes, ordinances and regulations of all federal, state and local governmental bodies having jurisdiction thereof; and (iii) rules and regulations for use established by Duke Power Company, its successors and assigns.

7.4. Rules for Use. In accordance with Section 4.3, the Association may adopt rules and regulations governing the use of the Piers and Boatslips and the personal conduct thereon of the Members owning Boatslip Lots and their families, guests, invitees and tenants.

The Piers may only be used by Owners of Boatslip Lots, their families, guests, invitees or tenants occupying the Boatslip Lot pursuant to a lease agreement. Each Boatslip may only be used by the Owner of the Boatslip Lot to which such Boatslip is appurtenant, their families, guests, invitees or tenants occupying the Boatslip Lot pursuant to a lease agreement.

Article VIII CONDEMNATION

If any part of the Common Area shall be taken (or conveyed in lieu of and under threat of condemnation by the Board acting on the written direction of Members representing at least 67% of the total Class "A" votes in the Association and of the Declarant (as long as the Declarant owns any property described on Exhibits "A" or "B") by any authority having the power of condemnation or eminent domain, each Owner shall be entitled to written notice. The award made for such taking shall be payable to the Association as trustee for all Owners to be disbursed as follows:

If the taking involves a portion of the Common Area on which improvements have been constructed, the Association shall restore or replace such improvements on the remaining land included in the Common Area to the extent available, unless within 60 days after such taking the Declarant, so long as the Declarant owns any property described in Exhibits "A" or "B" of this Declaration, and Members representing at least 75% of the total Class "A" votes in the Association shall otherwise agree. Any such construction shall be in accordance with plans approved by the Board. The provisions of Sections 6.4 and 6.5 regarding funds for the repair of damage or destruction shall apply.

If the taking does not involve any improvements on the Common Area, or if a decision is made not to repair or restore, or if net funds remain after any such restoration or replacement is

complete, then such award or net funds shall be disbursed to the Association and used for such purposes as the Board shall determine.

Article IX ANNEXATION AND WITHDRAWAL OF PROPERTY

9.1. Annexation without Approval of Membership. Until all property described on Exhibit "B" has been subjected to this Declaration or 10 years after the recording of this Declaration, whichever is earlier, Declarant may unilaterally subject to the provisions of this Declaration all or portions of the real property shown on Exhibit "B". Declarant may transfer or assign this right to annex property, provided that the transferee or assignee is the developer of at least a portion of the real property described or shown on Exhibits "A" or "B" and that such transfer is memorialized in a written, recorded instrument executed by Declarant. Nothing in this Declaration shall be construed to require the Declarant or any successor to annex or develop any of the property set forth in Exhibit "B" in any manner whatsoever.

Such annexation shall be accomplished by filing a Supplemental Declaration in the land records of Iredell County, North Carolina, describing the property to be annexed and specifically subjecting it to the terms of this Declaration. Such Supplemental Declaration shall not require the consent of Members, but shall require the consent of the owner of such property, if other than Declarant. Any such annexation shall be effective upon the filing for record of such Supplemental Declaration unless otherwise provided therein. Declarant may also cause additional Piers and Boatslips to be constructed and made subject to this Declaration by filing a Supplemental Declaration describing the location and number of Boatslips to be added and a statement by Declarant of its intent to extend the operation and affect of this Declaration to the additional Boatslips.

9.2. Annexation with Approval of Membership. The Association may subject any real property to the provisions of this Declaration with the consent of the owner of such property, the affirmative vote of Members representing a majority of the Class "A" votes of the Association represented at a meeting duly called for such purpose, and the consent of the Declarant, so long as Declarant owns property subject to this Declaration or which may become subject to this Declaration in accordance with Section 9.1.

Such annexation shall be accomplished by filing a Supplemental Declaration in the land records of Iredell County, North Carolina, describing the property to be annexed and specifically subjecting it to the terms of this Declaration. Any such Supplemental Declaration shall be signed by the President and the Secretary of the Association, and by the owner of the annexed property. Any such annexation shall be effective upon filing unless otherwise provided therein.

9.3. Withdrawal of Property. The Declarant reserves the right to amend this Declaration so long as it has a right to annex additional property pursuant to this Article, without prior notice and without the consent of any Person, for the purpose of removing property then owned by the Declarant, its affiliates, or the Association from the coverage of this Declaration, to the extent originally included in error or as a result of any changes in the Declarant's plans for the Properties,

provided such withdrawal is not unequivocally contrary to the overall, uniform scheme of development for the Properties.

9.4. Amendment. This Article shall not be amended without the prior written consent of Declarant so long as the Declarant owns any property described or shown on Exhibits "A" or "B."

Article X ASSESSMENTS

10.1. Creation of Assessments. The Association is hereby authorized to levy assessments against each Lot for Association expenses as the Board may specifically authorize from time to time. There shall be four types of assessments for Association expenses: (a) Base Assessments to fund Common Expenses for the general benefit of all Lots, (b) Boatslip Assessments to fund Boatslip Expenses, (c) Special Assessments as described in Section 10.5, and (d) Specific Assessments as described in Section 10.6. Each Owner, by accepting a deed or entering into a recorded contract of sale for any portion of the Properties is deemed to covenant and agree to pay these assessments.

All assessments together with interest from the due date of such assessment at a rate determined by the Board (not to exceed the highest rate allowed by North Carolina law), late charges, costs, and reasonable attorney's fees, shall be a charge and continuing lien upon each Lot against which the assessment is made until paid, as more particularly provided in Section 10.8. Each such assessment, together with interest, late charges, costs, and reasonable attorney's fees, also shall be the personal obligation of the Person who was the Owner of such Lot at the time the assessment arose. Upon a transfer of title to a Lot, the grantee shall be jointly and severally liable for any assessments and other charges due at the time of conveyance unless waived in writing by the Association. However, no first Mortgagee who obtains title to a Lot by exercising the remedies provided in its Mortgage shall be liable for unpaid assessments which accrued prior to such acquisition of title.

Unless modified by the Board of Directors, Assessments shall be paid in advance semi-annually on January 1st and July 1st. If any Owner is delinquent in paying any assessments or other charges levied on his Lot, the Board may impose reasonable interest and late charges and may require any unpaid installments of all outstanding assessments to be paid in full immediately.

No Owner may exempt himself from liability for assessments by nonuse of Common Area, abandonment of his Lot, or any other means. The obligation to pay assessments is a separate and independent covenant on the part of each Owner. No diminution or abatement of assessments or set-off shall be claimed or allowed for any alleged failure of the Association or Board to take some action or perform some function required of it, or for inconvenience or discomfort arising from the making of repairs or improvements, or from any other action it takes.

The Association is specifically authorized to enter into subsidy contracts or contracts for "in kind" contribution of services, materials, or a combination of services and materials with the Declarant or other entities for payment of Common Expenses.

10.2 Declarant's Obligation for Assessments. During the Class "B" Control Period, Declarant may annually elect either to pay Base and Boatslip Assessments per Sections 10.3 and 10.4 on its unsold Lots, or to pay the difference between the amount of the assessments collected on all other Lots and the amount of actual expenditures by the Association during the fiscal year. Unless the Declarant otherwise notifies the Board in writing at least 30 days before the beginning of each fiscal year, the Declarant shall be deemed to have elected to continue paying on the same basis as during the immediately preceding fiscal year. Regardless of such election, the Association shall have a lien against all Lots owned by the Declarant to secure the Declarant's obligations under this paragraph, which lien shall have the same attributes and shall be enforceable in the same manner as the Association's lien against other Lots under this Article. The Declarant's obligations hereunder may be satisfied in the form of cash or by "in kind" contributions of services or materials, or by a combination of these.

10.3 Computation of Base Assessment. At least 30 days before the beginning of each fiscal year starting with the fiscal year commencing January 1, 1997, the Board shall fix the amount of the Base Assessment and the Association shall send written notice of the amount of the Base Assessment, as well as the amount of the first installment due, to each Owner on or before the first day of such year. Failure of the Association to send the notice described in this Section shall not relieve the Owners of their liability for Base Assessments. Notwithstanding the foregoing, the Board of Directors may alter the time for setting the Base Assessment and increase or decrease the frequency of installments in any reasonable manner. The Base Assessment may include a capital contribution to establish a reserve fund taking into account the expected life and expected repair and replacement costs of all replaceable assets.

The Base Assessment shall be levied equally against all Lots except that the Base Assessment for each Lot owned by Declarant or a Builder with a house under timely construction shall be one-third (1/3) of the amount for each other Lot. In determining the level of assessments, the Board, in its discretion, may consider other sources of funds, if any, available to the Association.

So long as the Declarant has the right unilaterally to annex additional property pursuant to Article IX, the Declarant may, but shall not be obligated to, reduce the Base Assessment for any fiscal year by payment of a subsidy (in addition to any amounts paid by Declarant under Section 10.2 above), which may be either a contribution, an advance against future assessments due from the Declarant, or a loan, in the Declarant's discretion. The payment of such subsidy in any year shall under no circumstances obligate the Declarant to continue payment of such subsidy in future years.

If the Board fails for any reason to fix the Base Assessment for any year, then until such time as the Board acts the Base Assessment in effect for the immediately preceding year shall continue for the current year. The Base Assessment for fiscal year 1997 shall be \$ 276 per year unless a swimming pool is added to the Common Area in 1997 at which time the Base Assessment will increase to \$516.

10.4. Computation of Boatslip Assessment. At least 30 days before the beginning of each fiscal year starting with the fiscal year commencing January 1, 1997, the Board shall fix the amount of the Boatslip Assessment and the Association shall send written notice of the amount of the Boatslip Assessment, as well as the amount of the first installment due, to each Boatslip Lot Owner on or before the first day of such year. Failure of the Association to send the notice described in this Section shall not relieve Boatslip Lot Owners of their liability for Boatslip Assessments. Notwithstanding the foregoing, the Board of Directors may alter the time for setting the Boatslip Assessments and increase or decrease the frequency of installments in any reasonable manner. The Boatslip Assessment may include a capital contribution to establish a reserve fund taking into account the expected life and expected repair and replacement costs of all replaceable assets benefitting Boatslip Lot Owners. Boatslip Assessments shall be levied equally against all Boatslip Lots; provided, however, Boatslip Assessments for each Boatslip Lot owned by Declarant or any Builder with a house under timely construction shall be one-third (1/3) of the Boatslip Assessment for other Boatslip Lots.

If the Board fails for any reason to fix the Boatslip Assessment for any year, then until such time as the Board acts the Boatslip Assessment in effect for the immediately preceding year shall continue for the current year. The Boatslip assessment for the fiscal year 1997 shall be \$264 per year.

10.5. Special Assessments. In addition to other authorized assessments, the Association may levy Special Assessments from time to time to cover unbudgeted expenses or expenses in excess of those budgeted. Such Special Assessment may be levied against the entire membership, if such Special Assessment is for Common Expenses or against Boatslip Lot Owners if such Special Assessment is for only Boatslip Expenses. Except as otherwise specifically provided in this Declaration, any Special Assessment shall require the affirmative vote or written consent of Members representing at least 51% of the total votes allocated to Lots which will be subject to such Special Assessment, and the affirmative vote or written consent of the Class "B" Member, if such exists. Special Assessments shall be payable in such manner and at such times as determined by the Board, and may be payable in installments extending beyond the fiscal year in which the Special Assessment is approved.

Special Assessments shall be levied uniformly for all Lots except that the Special Assessment for each Lot owned by Declarant or a Builder with a house under timely construction shall be one-third (1/3) of the amount for each other Lot.

10.6. Specific Assessments. The Board shall have the power to levy Specific Assessments against a particular Lot or Lots constituting less than all Lots within the Properties to cover costs incurred in bringing the Lot into compliance with the terms of this Declaration and the other Governing Documents or costs incurred as a consequence of the conduct of the Owner or occupants of the Lot, their licensees, tenants, invitees, or guests; provided the Board shall give the Lot Owner prior written notice and an opportunity for a hearing before levying any Specific Assessment under this Section 10.6.

10.7. Date of Commencement of Assessments. Assessments shall commence on January 1, 1997. The obligation to pay assessments shall commence as to each Lot on the date of closing the purchase of the Lot and shall be prorated for the number of months remaining in the year in which closing occurs.

10.8. Lien for Assessments. All assessments authorized in this Article shall constitute a lien against the Lot against which they are levied until paid. The lien shall also secure payment of interest, late charges and costs of collection (including attorneys fees). Such lien shall be superior to all other liens, except (a) the liens of all taxes, bonds, assessments, and other levies which by law would be superior, and (b) the lien or charge of any first Mortgage of record (meaning any recorded Mortgage with first priority over other Mortgages) made in good faith and for value. The Association may enforce such lien, when delinquent, by suit, judgment, and foreclosure.

The Association may bid for the Lot at the foreclosure sale and acquire, hold, lease, mortgage, and convey the Lot. While a Lot is owned by the Association following foreclosure: (a) no right to vote shall be exercised on its behalf; (b) no assessment shall be levied on it; and (c) each other Lot shall be charged, in addition to its usual assessment, its equal pro rata share of the assessment that would have been charged such Lot had it not been acquired by the Association. The Association may sue for unpaid Common Expenses and costs without foreclosing or waiving the lien securing the same.

The sale or transfer of any Lot shall not affect the assessment lien or relieve such Lot from the lien for any subsequent assessments. However, the sale or transfer of any Lot pursuant to foreclosure of the first Mortgage shall extinguish the lien as to any installments of such assessments due prior to such sale or transfer. A Mortgagee or other purchaser of a Lot who obtains title pursuant to foreclosure of the Mortgage shall not be personally liable for assessments on such Lot due prior to such acquisition of title. Such unpaid assessments shall be deemed to be Common Expenses collectible from Owners of all Lots subject to assessment under Section 10.8, including such acquirer, its successors and assigns.

10.9. Failure to Assess. Failure of the Board to fix assessment amounts or rates or to deliver or mail each Owner an assessment notice shall not be deemed a waiver, modification, or a release of any Owner from the obligation to pay assessments. In such event, each Owner shall continue to pay Base Assessments and Boatslip Assessments on the same basis as for the last year for which an assessment was made, if any, until a new assessment is made, at which time the Association may retroactively assess any shortfalls in collections.

10.10. Capitalization of Association. Upon acquisition of record title to a Lot by the first Owner thereof other than the Declarant, a contribution shall be made by or on behalf of the purchaser to the working capital of the Association in an amount equal to one-sixth of the annual Base Assessment per Lot for that year. This amount shall be in addition to, not in lieu of, the annual Base Assessment and shall not be considered an advance payment of such assessment. This amount shall be collected at closing of the purchase and disbursed therefrom to the

Association for use in covering operating expenses and other expenses incurred by the Association pursuant to the terms of this Declaration and the By-Laws.

10.11. Exempt Property. The following property shall be exempt from payment of Base Assessments, Boatslip Assessments and Special Assessments:

- (a) all Common Area, and such portions of the property owned by the Declarant as are included in the Area of Common Responsibility pursuant to Section 5.1;
- (b) any property dedicated to and accepted by any governmental authority or public utility.

Article XI ARCHITECTURAL AND AESTHETIC REVIEW

11.1. General. No structure shall be placed, erected, or installed upon any Lot and no improvements (including, without limitation, clearing, excavation, grading or other site work) shall take place upon any Lot, except in compliance with this Article and then only upon approval of the Architectural Control Committee (as defined below, hereinafter referred to as the "ACC").

All structures and improvements and any alterations, additions or deletions thereto constructed on any portion of the Properties shall be designed by and built in accordance with the plans and specifications of a licensed architect, engineer, or designer.

This Article shall not apply to the activities of the Declarant, nor to improvements to the Common Area by or on behalf of the Association.

This Article may not be amended without the Declarant's written consent so long as the Declarant owns any land subject to this Declaration or subject to annexation to this Declaration.

11.2. Architectural and Aesthetic Review. The review of all plans for construction under this Article shall be handled by the ACC. The members of the committee need not be Members of the Association, and may, but need not, include architects, engineers or similar professionals, whose compensation, if any, shall be established from time to time by the Board.

Architectural Control Committee. The Architectural Control Committee ("ACC") shall consist of at least three, but not more than five, persons and shall have exclusive jurisdiction over all construction and improvements on the Properties. Until 100% of the Properties have been developed and conveyed to Owners other than Builders, the Declarant retains the right to appoint all members of the ACC who shall serve at the Declarant's discretion. Upon the expiration of such right, the Board shall appoint the members of the ACC, who shall serve and may be removed in the Board's discretion.

11.3. Submission of Plans and Specifications. (a) No construction or improvements including, without limitation, buildings (including outbuildings of any kind), fences, walls, structures, wells or septic systems shall be commenced, erected, placed or maintained on any Lot

until the plans and specifications ("Plans") showing shape, dimension, height, layout, design, exterior elevations, exterior materials and colors, signs, landscaping, drainage, lighting, irrigation, utility facilities layout and screening therefor, as applicable, shall have been submitted to and approved in writing by the ACC.

The ACC shall, within 30 days after receipt of each submission of the Plans, advise the party submitting the same, in writing, at an address specified by such party at the time of submission, of (i) the approval of Plans or (ii) disapproval thereof, citing the reasons for such disapproval and offering suggestions for the curing of such objections. In the event the ACC fails to advise the submitting party by written notice within the time set forth above of either the approval or disapproval of the Plans, approval shall be deemed to have been given. Notice shall be deemed to have been given at the time the envelope containing such notice, properly addressed, and postage prepaid, is deposited with the U. S. Postal Service, registered or certified mail, return receipt requested. Personal delivery of such written notice shall, however, be sufficient and shall be deemed to have been given at the time of delivery.

(b) If construction does not commence on a project for which Plans have been approved within 3 months of such approval, such approval shall be deemed withdrawn and it shall be necessary for the Owner to resubmit the Plans to the Declarant for reconsideration. The exterior of all improvements, including landscaping, shall be diligently and continuously pursued until completion and, in any event, shall be completed within one year from commencement of construction, which, for purposes hereof, shall mean clearing the site.

11.4 No Waiver of Future Approvals. Each Owner acknowledges that the members of the ACC may change from time to time. Approval of proposals, plans and specifications, or drawings for any work done or proposed, or in connection with any matter requiring approval, shall not be deemed to constitute a waiver of the right to withhold approval as to any similar proposals, plans and specifications, drawings, or other matters subsequently or additionally submitted for approval.

11.5. Variance. The ACC may authorize variances from compliance with any of its guidelines and procedures when circumstances such as topography, natural obstructions, hardship, or aesthetic or environmental considerations require. No such variances shall (a) be effective unless in writing; (b) be contrary to this Declaration, or (c) estop the ACC from denying a variance in other circumstances. For purposes of this Section, the inability to obtain approval of any governmental agency, the issuance of any permit, the cost of compliance, or the terms of any financing shall not be considered a hardship warranting a variance.

11.6. Limitation of Liability. Review and approval of any application pursuant to this Article is made on the basis of aesthetic considerations only and the ACC shall not bear any responsibility for ensuring the structural integrity or soundness of approved construction or modifications, nor for ensuring compliance with building codes and other governmental requirements. Neither the Declarant, the Association, the Board or any member of any of the foregoing or of the ACC shall be held liable for any injury, damages, or loss arising out of the manner or quality of approved construction on or modifications to any Lot.

11.7. Enforcement. Any structure, improvement or other matter subject to this Article placed or made in violation of this Article shall be deemed to be non-compliant. Upon written request from the Board or the Declarant, Owners shall, at their own cost and expense, remove the same and restore the land to substantially the same condition as existed prior to the non-compliant work or activity. Should an Owner fail to remove and restore as required, the Board or its designees shall have the right to enter the property, remove the violation, and restore the property to substantially the same condition as previously existed. All costs, together with the interest at the maximum rate then allowed by law, may be assessed against the Owner of the non-compliant Lot and collected as a Specific Assessment.

In addition to the foregoing, the Association shall have the authority and standing to pursue all legal and equitable remedies available to enforce the provisions of this Article and the decisions of the ACC.

Article XII RESTRICTIONS

12.1. Plan of Development; Applicability; Effect. Declarant has created Shavender's Bluff as a planned community and, in furtherance of its and every other Owner's interests, has established a general plan of development for Shavender's Bluff. The Properties are subject to architectural approval as set forth in Article XI and other restrictions governing land use, construction, and uses of or actions upon the Properties as provided in this Article XII. This Declaration and resolutions the Board or the Members may hereafter adopt establish affirmative and negative covenants, easements, and restrictions.

All provisions of this Declaration and any Association rules shall apply to all occupants, lessees, guests and invitees of any Lot. Any lease on any Lot shall provide that the lessee and all occupants of the leased Lot shall be bound by the terms of this Declaration, the By-Laws, and the rules of the Association.

Declarant has prepared the following Restrictions which contain general provisions applicable to all of the Properties, as well as specific provisions which may vary within the Properties depending upon the location, characteristics, and intended use.

12.2. Owners' Acknowledgment. All Owners are subject to the Restrictions and are given notice that their ability to use their privately owned property is limited thereby. Each Owner by acceptance of a deed acknowledges and agrees that the use and enjoyment and marketability of his or her property can be affected by this provision.

12.3. Land Use and Building Type. (a) Lots may be used only for single-family residential purposes, except for temporary uses thereof by Declarant or a Builder for its sales office and/or model. No structures shall be erected or allowed to remain on any Lot except one detached single-family dwelling not exceeding three stories in height above ground and one approved detached structure. Carports are not permitted. No mobile home, modular home or shell home may be erected or permitted to remain on any Lot. (b) No residence or building of a temporary

nature (except as permitted above for the Declarant or Builder) shall be erected or allowed to remain on any Lot, and no metal, fiberglass, plastic, vinyl or canvas tent, barn, garage, utility building, storage building, boat dock roof structure, or other metal, fiberglass, plastic, vinyl or canvas structure shall be placed or erected on any Lot or attached to any dwelling.

12.4 Dwelling Specifications. No dwelling erected upon any Lot shall contain less than seventeen hundred (1,700) square feet of heated floor area in the case of a single story dwelling and eighteen hundred (1,800) square feet in the case of a multiple story dwelling (exclusive of unfinished basements, unheated porches, attached or detached garages, unheated storage areas, decks or patios). All buildings shall have a roof pitch (except for dormers and other minor architectural details) of not less than 8 in 12 pitch and must have not less than a twelve (12) inch overhang.

12.5 Building Construction and Quality. All buildings erected upon any Lot shall be constructed of new material of good grade, quality and appearance and shall be constructed in a proper, workmanlike manner. The exterior surface of any building shall not be of asbestos shingle siding, imitation brick or stoneroll siding or exposed concrete or cement block. The exterior surface of any garage, outbuilding, or appurtenant structure or building erected on or located on any Lot shall be aesthetically compatible with, and of material and construction comparable in cost and design to, the exterior surface of the dwelling located on said Lot. All roofs on any structure shall be covered with slate, cedar shakes, tile or fiberglass shingles. Tin or rolled roofing material is not permitted (except for copper). All structures shall be completely underpinned with a solid brick or brick, stone or stucco covered block foundation.

12.6 Diligent Construction. Construction of the dwelling on Lots owned by Builders must commence within thirty (30) days of approval of Plans, which Plans must be submitted within the time frame specified in an agreement between Declarant and Builder, and the exterior of all dwellings and other structures (including driveways, walkways and landscaping) built thereon shall be completed within one year from commencement of construction. The exterior of all dwellings and other structures (including driveways, walkways and landscaping) built upon all other Lots shall be completed within one year from commencement of construction. For purposes hereof, "commencement of construction" shall mean clearing the site. Any damage to any street, curb, sidewalk or any part of any Common Area or any utility system caused by Declarant, Owner or any Builder shall be repaired by such responsible party. Declarant and all Owners or Builders shall at all times keep contiguous areas, including streets and Common Area, reasonably free from dirt, mud, garbage or other debris which may be occasioned by construction. Declarant or the Association may provide for the cleaning of any such area due to the activities of the responsible party and may assess the responsible party a reasonable charge not to exceed the actual cost for such cleaning. Declarant and each Owner or Builder shall, consistent with good construction practices, keep the construction site and surrounding areas free from unsightly construction debris and shall at all times during construction either provide dumpsters for the containment of garbage, trash or other debris or take other measures consistent with good construction practices necessary to keep the Lot and all Common Area free of such garbage, trash or other debris.

12.7 Removal of Trees and Other Vegetation. Preservation of trees and natural vegetation on each Lot is strongly encouraged and clearcutting is strongly discouraged. In the event that trees, shrubs or ground cover are removed in connection with the improvement of any Lot, such cleared portions of the Lot shall be landscaped with grass, plants, shrubs, trees, mulch, wood chips, pineneedles and/or similar landscaping improvements. Landscaping plans for each Lot will be a factor considered by the AAC in reviewing Plans for approval.

12.8 Driveways, Fences, Walls, Mailboxes, Air Conditioners, Swimming Pools, and Clotheslines. Unless otherwise specifically permitted by the Board of Directors or the Architectural Control Committee of the Association (a) each dwelling shall have a concrete driveway providing space for parking two cars off the street as well as a walkway leading from the front door of the main structure to the driveway; (b) all driveway drain pipe for Lots fronting Beaten Path Road shall be of a standard material and design and shall be faced with a standard material approved by the Declarant and, after termination of the Class B control period, the Board; (c) fences or walls may be constructed only of wood, brick or stone; chain link or other metal fencing is not permitted; perimeter fencing shall not have more than seventy percent (70%) of any of its surface closed as viewed from a point on a line of sight perpendicular to the line of the fence; a wall constructed of brick or stone and used in lieu of a fence is exempt from the openness test; No fences or walls greater than five (5) feet in height are permitted; no fence or wall facing the street shall be erected on a Lot nearer the street right of way line than the front face of the dwelling located on such Lot, except for split-rail fencing or fencing no higher than 30" in height; in the case of a corner Lot, no sideyard fence or wall shall be erected nearer the street right of way line than the side of the dwelling located on such Lot, except for split-rail fencing or fencing no higher than 30" in height; (d) all mailboxes shall be constructed in accordance with one or more standard designs approved by the Declarant, or after expiration of the Class B control period, the Board; no masonry mailbox or other structure or improvement shall be constructed or placed within the right-of-way of any road so as to prevent the road from being accepted for maintenance by any governmental entity; (e) all pumps, air conditioners and other HVAC equipment shall be screened from view; (f) above-ground pools are not permitted; and (g) no clothesline may be erected or maintained on any Lot.

12.9 Antennas, Satellite Dishes or Discs. No transmission or reception device including antennas, discs or satellite dishes exceeding twenty inches (20) in diameter are permitted; provided, however, that customary roof-mounted antennas extending no more than 10' above the roof ridge of the house are permitted and satellite discs or dishes which are twenty inches or less in diameter are permitted provided they are not visible from the road.

12.10 Building Setbacks. (a) Notwithstanding what may be shown on any map, recorded or unrecorded plat, drawing or exhibit to this or any supplemental declaration, no building on any Lot (including any stoops, porches, or decks) shall be erected or permitted to remain (i) within fifty (50) feet of the front of any Lot fronting Beaten Path Road or within thirty-five (35) feet from the front of any other Lot or side of any corner Lot on the street-side, as measured from the street right-of-way, (ii) within fifteen (15) feet of any neighboring Lot or Common Area, or (iii) within thirty-five (35) feet of any rear Lot line. In the event of a violation of these setback restrictions, the Declarant may waive any such violation by an appropriate written instrument. (b)

Notwithstanding the aforementioned setback restrictions, in the event any zoning or subdivision ordinance, floodway regulations or other ordinance shall prescribe greater setbacks, then all buildings shall conform to said requirements. (c) No well may be located within forty (40) feet of any side property line.

12.11 Resubdivision of Lots, Streets. No Lot (other than a Lot owned by Declarant) shall be resubdivided into a Lot smaller than or different from the Lot shown on the recorded plat, except with the written consent of Declarant. No street shall be laid or opened across or through any Lot.

12.12 Nuisances. No noxious or offensive trade or activity shall be carried on upon any Lot or in any residential dwelling or outbuilding, nor shall anything be done thereon which may be or become an annoyance or nuisance to the neighborhood. No substance, thing or material shall be kept upon any Lot that will emit foul or obnoxious odors, or that will cause any noise that will or might disturb the peace and quiet of the occupants of surrounding property. No animals, livestock or poultry or any kind shall be raised, bred, or kept on any Common Area, Lot or in any residential dwelling or outbuilding except that dogs, cats, or other household pets (which may be limited in number by the Board of Directors) may be kept or maintained provided they are not kept, bred, or maintained for commercial purposes.

12.13 Signs. No signs shall be allowed except (i) one sign advertising a Lot for sale which sign shall not exceed five square feet in size, (ii) one sign used by a Builder to advertise a Lot during the construction and sales period, (iii) temporary political signs, (iv) temporary or permanent Entrance Signage or Common Area signage and (v) Declarant's advertising signage or individual Lot signs installed by Declarant or its agents prior to the sellout of the project.

12.14 Offstreet Parking, Boat Storage. Boats, trucks, trailers, campers, motor homes, and recreational or commercial vehicles may not be parked on any street at any time or anywhere upon a Lot except within an enclosed garage or other approved structure. No truck or commercial vehicle in excess of one-ton capacity or any junked or wrecked motor vehicle shall be parked upon or permitted to remain on any Lot except within an enclosed garage. All other motor vehicles must have a current license plate affixed and must be parked in an enclosed garage, or on the concrete driveway originally constructed on the Lot.

12.15 Sewage Disposal. Every dwelling erected on any Lot shall be served by a septic system built and maintained in accordance with the requirements of all governmental and regulatory agencies having jurisdiction.

12.16 Lot Maintenance, Trash Disposal. Following occupancy of the dwelling constructed upon his or her Lot, each Owner shall keep his Lot in a clean and orderly condition and shall keep the improvements thereon in a suitable state of painting and repair, promptly repairing any damage thereto by fire or other casualty. No Lot shall be used in whole or in part for storage of trash of any type and no trash, rubbish, stored materials or similar unsightly items shall be allowed to remain on any Lot outside of an enclosed structure, except when temporarily placed in closed, sanitary containers pending collection by trash collection authorities or companies.

Any of the aforementioned restrictions may be waived by Declarant and, after termination of the Class B Control Period, the Board of Directors when circumstances necessitate, but no such waiver shall be effective unless in writing.

Article XIII EASEMENTS

13.1 Easements for Utilities, Etc. (a) There are hereby reserved unto Declarant, so long as the Declarant owns any property shown or described on Exhibits "A" or "B" of this Declaration, the Association, and the designees of each (which may include, without limitation, Iredell County, the City of Mooresville and any utility company or communications system provider) access and maintenance easements upon, across, over, and under all of the Properties to the extent reasonably necessary for the purpose of installing, replacing, repairing, and maintaining all utilities, including, but not limited to, water, sewer, meter boxes, telephone, gas, cable T.V. and electricity, and for reading meters for the same. This easement shall not entitle the holders to construct or install any of the foregoing systems, facilities, or utilities over, under or through any existing dwelling on a Lot, and any damage to a Lot resulting from the exercise of this easement shall promptly be repaired by, and at the expense of, the Person exercising the easement. The exercise of this easement shall not unreasonably interfere with the use of any Lot and, except in an emergency, entry onto any Lot shall be made only after reasonable notice to the Owner or occupant.

(b) There is hereby reserved to the Declarant, so long as the Declarant owns any property shown or described on Exhibits "A" or "B" of this Declaration, the non-exclusive right and power to grant such specific easements as may be necessary, in the sole discretion of Declarant, in connection with the orderly development of any property shown or described on Exhibits "A" or "B".

13.2. Easements to Serve Additional Property. The Declarant hereby reserves for itself and its duly authorized agents, representatives, employees, successors, assigns, licensees, and mortgagees, an easement over the Common Area for the purposes of enjoyment, use, access, and development of the property described shown on Exhibit "B" whether or not such property is made subject to this Declaration. This easement includes, but is not limited to, a right of ingress and egress over the Common Area for construction of roads and for connecting and installing utilities on such property. Declarant further agrees that if the easement is exercised for permanent access to such property and such property or any portion thereof is not made subject to this Declaration, the Declarant, its successors or assigns shall enter into a reasonable agreement with the Association to share the cost of maintenance of any access roadway serving such property.

13.3. Easements for Cross-Drainage. Every Lot and the Common Area shall be burdened with easements for natural drainage of storm water runoff from other portions of the Properties; provided, no Person shall alter the natural drainage on any Lot so as to materially increase the

drainage of storm water onto adjacent portions of the Properties without the consent of the Owner of the affected property.

13.4. Right of Entry. The Association shall have the right, but not the obligation, to enter upon any Lot for emergency, security, and safety reasons, to perform maintenance pursuant to Article V hereof, and to inspect for the purpose of ensuring compliance with this Declaration, any Supplemental Declaration, the By-Laws and rules, which right may be exercised by any member of the Board, the Association, officers, agents, employees, and managers, and all policemen, firemen, ambulance personnel, and similar emergency personnel in the performance of their duties. Except in an emergency situation, entry shall only be during reasonable hours and after notice to the Owner. This right of entry shall include the right of the Association to enter upon any Lot to cure any condition which may increase the possibility of a fire or other hazard in the event an Owner fails or refuses to cure the condition within a reasonable time after requested by the Board, but shall not authorize entry into any single family detached dwelling without permission of the Owner, except by emergency personnel acting in their official capacities.

13.5 Lake Access Easement(s). Declarant hereby reserves a non-exclusive perpetual easement over each of the strips of land designated as "Lake Access Easement" on the Master Plan or on any exhibit to a Supplemental Declaration for the purpose of (i) pedestrian access to and from Boatslips located at the end of such paths by the Owners of Lots to which such Boatslips are appurtenant and their family members, guests, lessees and invitees in accordance with the terms of this Declaration and (ii) pedestrian and vehicular access to and from the Pier(s) and Boatslips by such persons as may be authorized by Declarant or the Association to construct, maintain, repair and replace the path to be located upon each Lake Access Easement and the Pier(s) and Boatslips located at the end thereof.

Article XIV MORTGAGEE PROVISIONS

The following provisions are for the benefit of holders, insurers and guarantors of first Mortgages on Lots in the Properties. The provisions of this Article apply to both this Declaration and to the By-Laws, notwithstanding any other provisions contained therein.

14.1. Notices of Action. An institutional holder, insurer, or guarantor of a first Mortgage who provides written request to the Association (such request to state the name and address of such holder, insurer, or guarantor and the street address of the Lot to which its Mortgage relates, thereby becoming an "Eligible Holder"), will be entitled to timely written notice of:

(a) Any condemnation loss or any casualty loss which affects a material portion of the Properties or which affects any Lot on which there is a first Mortgage held, insured, or guaranteed by such Eligible Holder;

(b) Any delinquency in the payment of assessments or charges owed by a Lot subject to the Mortgage of such Eligible Holder, where such delinquency has continued for a period of 60 days,

or any other violation of the Declaration or By-Laws relating to such Lot or the Owner or Occupant which is not cured within 60 days. Notwithstanding this provision, any holder of a first Mortgage is entitled to written notice upon request from the Association of any default in the performance by an Owner of a Lot of any obligation under the Declaration or By-Laws which is not cured within 60 days;

(c) Any lapse, cancellation, or material modification of any insurance policy maintained by the Association; or

(d) Any proposed action which would require the consent of specified percentage of Eligible Holders.

14.2. Special FHLMC Provision. So long as required by the Federal Home Loan Mortgage Corporation, the following provisions apply in addition to and not in lieu of the foregoing. Unless at least 67% of the first Mortgagees or Members representing at least 67% of the total Association vote entitled to cast consent, the Association shall not:

(a) By act or omission seek to abandon, partition, subdivide, encumber, sell, or transfer all or any portion of the real property comprising the Common Area which the Association owns, directly or indirectly (the granting of easements for public utilities or other similar purposes consistent with the intended use of the Common Area and reconveyance to Declarant pursuant to Section 4.2 shall not be deemed a transfer within the meaning of this subsection);

(b) Change the method of determining the obligations, assessments, dues, or other charges which may be levied against an Owner of a Lot;

(c) By act or omission change, waive, or abandon any scheme of regulations or enforcement pertaining to architectural design, exterior appearance or maintenance of Lots and the Common Area (The issuance and amendment of architectural standards, procedures, rules and regulations, or use restrictions shall not constitute a change, waiver, or abandonment within the meaning of this provision.);

(d) Fail to maintain insurance as required by this Declaration;

(e) Use hazard insurance proceeds for any Common Area losses for other than the repair, replacement, or reconstruction of such property.

First Mortgagees may, jointly or singly, pay taxes or other charges which are in default and which may or have become a charge against the Common Area and may pay overdue premiums on casualty insurance policies or secure new casualty insurance coverage upon the lapse of an Association policy, and first Mortgagees making such payments shall be entitled to immediate reimbursement from the Association.

14.3. Other Provisions for First Lien Holders. To the extent possible under North Carolina law:

(a) Any restoration or repair of the Properties after a partial condemnation or damage due to an insurable hazard shall be performed substantially in accordance with this Declaration and the original plans and specifications unless the approval is obtained of the Eligible Holders of first Mortgages on Lots to which at least 51% of the votes of Lots subject to Mortgages held by such Eligible Holders are allocated.

(b) Any election to terminate the Association after substantial destruction or a substantial taking in condemnation shall require the approval of the Eligible Holders of first Mortgages on Lots to which at least 51% of the votes of Lots subject to Mortgages held by such Eligible Holders are allocated.

14.4. Amendments to Documents. The following provisions do not apply to amendments to the constituent documents or termination of the Association made as a result of destruction, damage, or condemnation pursuant to Section 14.3(a) and (b), or to the addition of land in accordance with Article IX.

(a) The consent of Members representing at least 67% of the Class "A" votes and of the Declarant, so long as it owns any land subject to this Declaration and the approval of the Eligible Holders of first Mortgages on Lots to which at least 67% of the votes of Lots subject to a Mortgage appertain, shall be required to terminate the Association.

(b) The consent of Members representing at least 67% of the Class "A" votes and of the Declarant so long as it owns any land subject to this Declaration, and the approval of Eligible Holders of first Mortgages on Lots to which at least 51% of the votes of Lots subject to a Mortgage appertain, shall be required materially to amend any provisions of the Declaration, By-Laws, or Articles of Incorporation, or to add any material provisions thereto which establish, provide for, govern, or regulate any of the following:

- (i) voting
- (ii) assessments, assessment liens, or subordination of such
- (iii) reserves for maintenance, repair, and replacement of the Common Area;
- (iv) insurance or fidelity bonds;
- (v) rights to use the Common Area;
- (vi) responsibility for maintenance and repair of the Properties;
- (vii) expansion or contraction of the Properties or the addition, annexation, or withdrawal of Properties to or from the Association;
- (viii) boundaries of any Lot;
- (ix) leasing of Lots;
- (x) imposition of any right of first refusal or similar restriction of the right of any Owner to sell, transfer, or otherwise convey his or her Lot;
- (xi) establishment of self-management by the Association where professional management has been required by an Eligible Holder; or
- (xii) any provisions included in the Declaration, By-Laws, or Articles of Incorporation which are for the express benefit of holders, guarantors, or insurers of first Mortgages on Lots.

14.5. No Priority. No provision of this Declaration or the By-Laws gives or shall be construed as giving any Owner or other party priority over any rights of the first Mortgagee of

any Lot in the case of distribution to such Owner of insurance proceeds or condemnation awards for losses to or a taking of the Common Area.

14.6 Notice to Association. Upon request, each Owner shall be obligated to furnish to the Association the name and address of the holder of any Mortgage encumbering such Owner's Lot.

14.7. Amendment by Board. Should the Federal National Mortgage Association or the Federal Home Loan Mortgage Corporation subsequently delete any of its respective requirements which necessitate the provisions of this Article or make any such requirements less stringent, the Board, without approval of the Owners, may record an amendment to this Article to reflect such changes.

14.8. Applicability of Article XIV. Nothing contained in this Article shall be construed to reduce the percentage vote that must otherwise be obtained under the Declaration, By-Laws, or North Carolina law for any of the acts set out in this Article.

14.9. Failure of Mortgagee to Respond. Any Mortgagee who receives a written request from the Board to respond to or consent to any action shall be deemed to have approved such action if the Association does not receive a written response from the Mortgagee within thirty days of the date of the Association's request, provided such request is delivered to the Mortgagee by certified or registered mail, return receipt requested.

Article XV DECLARANT'S RIGHTS

Any or all of the special rights and obligations of the Declarant set forth in this Declaration or the By-Laws may be transferred to other Persons, provided that the transfer shall not reduce an obligation nor enlarge a right beyond that contained in this Declaration or the By-Laws. No such transfer shall be effective unless it is in a written instrument signed by the Declarant and duly recorded in the land records of Iredell County, North Carolina.

So long as construction and initial sales of Lots shall continue, the Declarant and Builders authorized by Declarant may maintain and carry on upon portions of the Common Area such facilities and activities as, in the sole opinion of the Declarant, may be reasonably required, convenient, or incidental to the construction or sale of such Lots, including, but not limited to, business offices, signs, models, and sales offices. The Declarant and authorized Builders shall have easements for access to and use of such facilities.

No Person shall record any declaration of covenants, conditions and restrictions, or similar instrument affecting any portion of the Properties without Declarant's review and written consent. Any attempted recordation without such consent shall result in such instrument being void and of no force and effect unless subsequently approved by recorded consent signed by the Declarant.

This Article may not be amended without the written consent of the Declarant. The rights contained in this Article shall terminate upon the earlier of (a) 10 years from the date this Declaration is recorded, or (b) upon recording by Declarant of a written statement that all sales and development activity has ceased and Declarant does not intend to develop any of the property shown or described on Exhibits "A" or "B".

Notwithstanding any contrary provision of this Declaration, no amendment to or modification of any Restrictions or rules made after termination of the Class "B" Control Period shall be effective without prior notice to and the written approval of Declarant so long as the Declarant owns any portion of the Properties primarily for development and sale.

Article XVI GENERAL PROVISIONS

16.1. Term. This Declaration shall run with and bind the Properties, and shall inure to the benefit of and shall be enforceable by the Association or any Owner, their respective legal representatives, heirs, successors, and assigns, for a term of twenty (20) years from the date this Declaration is recorded. After such time, this Declaration shall be automatically extended for successive periods of 10 years, unless an instrument in writing, signed by a majority of the then Owners, has been recorded within the year preceding each extension, agreeing to amend, in whole or in part, or terminate this Declaration, in which case this Declaration shall be amended or terminated as specified therein.

16.2. Amendment.

(a) By Declarant. Until termination of the Class "B" Control Period, Declarant may unilaterally amend this Declaration for any purpose. Thereafter, the Declarant may unilaterally amend this Declaration if such amendment is (i) necessary to bring any provision into compliance with any applicable governmental statutes, rule, regulation, or judicial determination; (ii) necessary to enable any reputable title insurance company to issue title insurance coverage on the Lots; or (iii) required by an institutional or governmental lender, purchaser, insurer or guarantor of Mortgage loans, including, for example, the Federal National Mortgage Association or Federal Home Loan Mortgage Corporation, to enable it to make, purchase, insure or guarantee mortgage loans on the Lots; or (iv) otherwise necessary to satisfy the requirements of any governmental agency. However, any such amendment shall not adversely affect the title to any Lot unless the Owner shall consent thereto in writing. So long as the Declarant still owns property shown or described on Exhibits "A" or "B" for development as part of the Properties, it may unilaterally amend this Declaration for any other purpose, provided the amendment has no material adverse effect upon any right of any Owner.

(b) By Owners. Thereafter and otherwise, this Declaration may be amended only by the affirmative vote or written consent, or any combination thereof, of Members representing 75% of the total Class "A" votes in the Association, including 75% of the Class "A" votes held by Members other than the Declarant and the consent of the Declarant, so long as the Declarant has

an option to subject additional property to this Declaration pursuant to Section 9.1. In addition, the approval requirements set forth in Article XIV hereof shall be met if applicable.

Notwithstanding the above, the percentage of votes necessary to amend a specific clause shall not be less than the prescribed percentage of affirmative votes required for action to be taken under that clause.

(c) Validity and Effective Date of Amendments. Amendments to this Declaration shall become effective upon recordation in the land records of Iredell County, North Carolina, unless a later effective date is specified therein. Any procedural challenge to an amendment must be made within six months of its recordation or such amendment shall be presumed to have been validly adopted. In no event shall a change of conditions or circumstances operate to amend any provisions of this Declaration.

If an Owner consents to any amendment to this Declaration or the By-Laws, it will be conclusively presumed that such Owner has the authority to so consent, and no contrary provision in any Mortgage or contract between the Owner and a third party will affect the validity of such amendment.

No amendment may remove, revoke, or modify any right or privilege of the Declarant without the written consent of the Declarant or the assignee of such right or privilege.

16.3. Severability. Invalidation of any provision of this Declaration, in whole or in part, or any application of a provision of this Declaration by judgment or court order shall in no way affect other provisions or applications.

16.4. Litigation. No judicial or administrative proceeding shall be commenced or prosecuted by the Association unless approved by a vote of 75% of the Members. This Section shall not apply, however, to (a) actions brought by the Association to enforce the provisions of this Declaration (including, without limitation, the foreclosure of liens); (b) the imposition and collection of assessments as provided in Article X; (c) proceedings involving challenges to ad valorem taxation; or (d) counterclaims brought by the Association in proceedings instituted against it. This Section shall not be amended unless such amendment is approved by the percentage of votes, and pursuant to the same procedures, necessary to institute proceedings as provided above.

16.5. Compliance. Every Owner and occupant of any Lot shall comply with this Declaration, the By-Laws, and the rules of the Association. Failure to comply shall be grounds for an action to recover sums due, for damages or injunctive relief, or for any other remedy available at law or in equity, by the Association or, in a proper case, by any aggrieved Lot Owner(s).

IN WITNESS WHEREOF, the undersigned Declarant has executed this Declaration this
4 day of April, 1996.

DECLARANT:
 SHAVENDER DEVELOPMENT GROUP LLC

By: Ronald W. Mack
 Manager
 Address: 103 W. Avondale Drive
 Greensboro, NC 27403

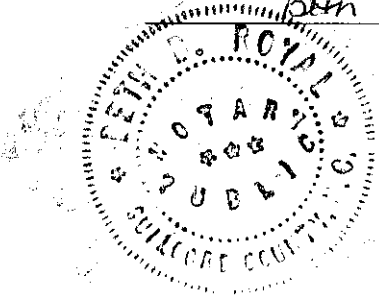
STATE OF NORTH CAROLINA
 COUNTY OF GUILFORD

I, Beth B. Royal a Notary Public of the County and State aforesaid, do certify that Ronald W. Mack personally came before me this day and acknowledged that he is a Manager of Shavender Development Group LLC, a North Carolina limited liability company, and that by authority duly given and as the act of the company, the foregoing instrument was signed in its name by its Manager on behalf of the company. Witness my hand and official stamp or seal, this the 4th day of April, 1996.

My Commission expires: November 16, 2000

(SEAL)

Beth B. Royal
 Notary Public



STATE OF NORTH CAROLINA — Iredell County

The foregoing certificate(s) of Beth B. Royal, N.P.

is (are) certified to be correct. This instrument was presented for registration this day and hour and duly recorded in the office of the Register of Deeds of Iredell County, North Carolina in Book 979, Page 722.
 This 8 day of April, A.D., 1996 at 11:13 o'clock A.M.

Brenda D. Bell
 REGISTER OF DEEDS

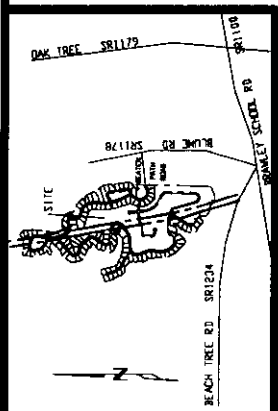
By: Lillie J. Lewis

ASST. REGISTER OF DEEDS

EXHIBIT "A"

Land Initially Submitted

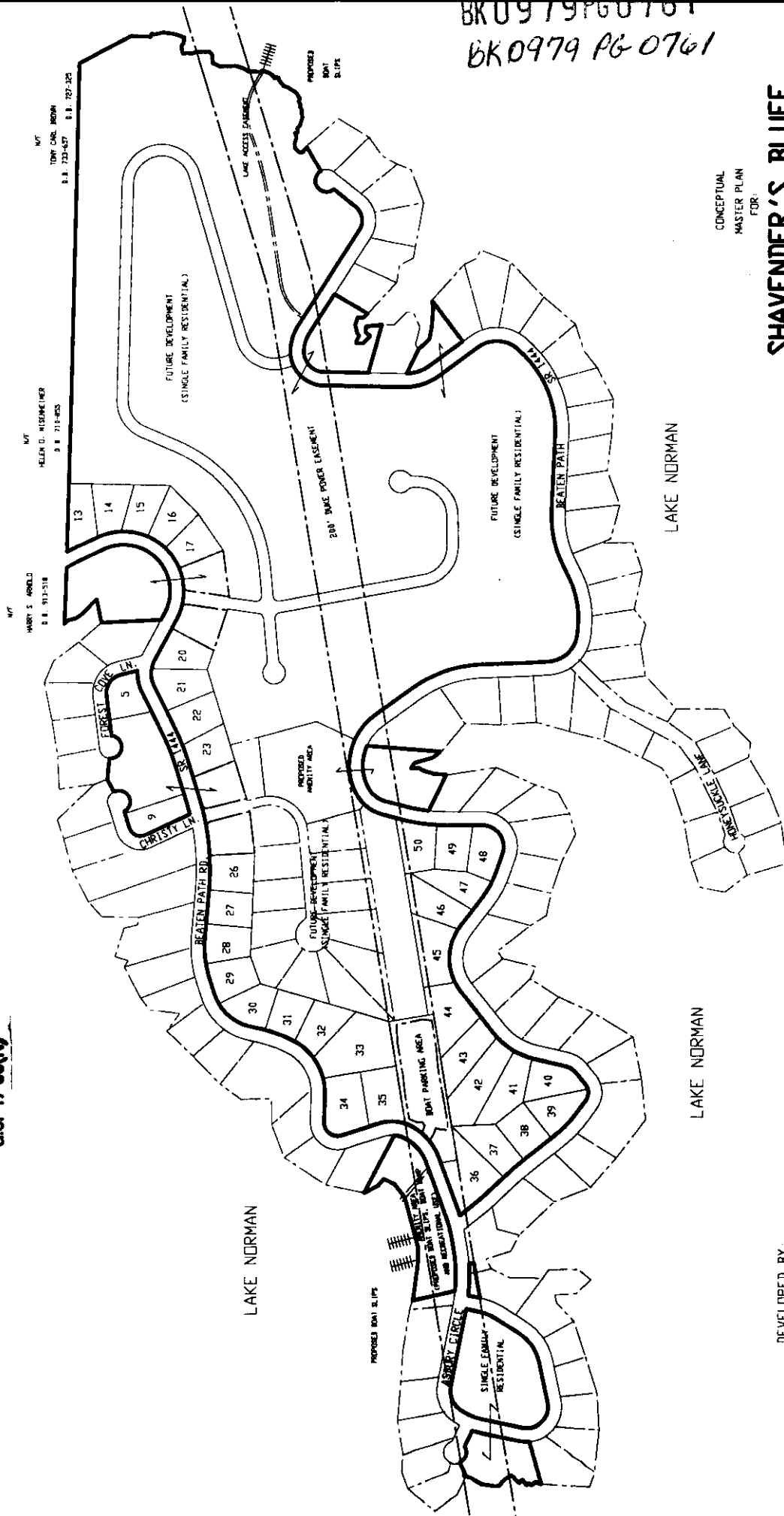
1. Lots 36 through 50 shown on the plat of Shavender's Bluff Phase One Section A which plat appears of record in the Iredell County, North Carolina Register of Deeds Office in Map Book 26 at Page 48.
2. Lots 26 through 35 shown on the plat of Shavender's Bluff Phase One Section B which plat appears of record in the Iredell County, North Carolina Register of Deeds Office in Map Book 26 at Page 49.



VICINITY MAP - NOT TO SCALE

**THIS MAP IS NOT A CERTIFIED SURVEY AND NO
RELIANCE MAY BE PLACED IN ITS ACCURACY.**

G.S. 47-300(N)



DEVELOPED BY:
SHAVENDER DEVELOPMENT GROUP, LLC
1143-D EXECUTIVE CIRCLE 27511
CARY, NORTH CAROLINA
(919) 469-4738 FAX: (919) 469-8447

CONCEPTUAL
MASTER PLAN
FOR
SHAVENDER'S BLUFF
DAVIDSON TOWNSHIP, IREDELL COUNTY, NORTH CAROLINA
01 APRIL 1996

"EXHIBIT B"

THIS MASTER PLAN IS CONCEPTUAL IN NATURE AND IS SUBJECT TO CHANGE IN DEVELOPER'S SOLE DISCRETION.

BK0979PG0761
BK0979 PG 0761